

doesn't have very much money, and starting a restaurant requires a lot of cash. To raise money for her restaurant, she decides to divide her restaurant into 20 shares for people to buy for \$1,000 each. This means she is no longer the only owner of the company but will share ownership with the people who buy her shares. You believe in your friend's idea and decide to buy one share; you pay the \$1,000 price for a share, and now you own one-twentieth of the restaurant.

Now that you own a share in your friend's business there are two ways you can make money: appreciation and dividend. **Appreciation** is when the value of something (in this case a stock) increases. If the restaurant is crushing it and making huge profits, someone is probably going to offer you more than the \$1,000 you paid for the share. If the restaurant is doing about the same as when you bought your share, they will probably pay around \$1,000 for your share. Stock prices don't always go up. If the restaurant is serving food that tastes like hot garbage, and not making much profit, someone will pay you less than \$1,000 for your share.

The other way you can make money off a stock is through a **dividend** payment. This is when the company decides to payout a portion of its profits to its shareholders. For example, let's say the restaurant opens and people love it. In the first three months, the restaurant makes a profit of \$2,000. That \$2,000 is divided up and paid out to the owners. Because you own one-twentieth of the restaurant, you get paid \$100 (one-twentieth of \$2,000 is \$100). Every three months you continue to be paid one-twentieth of the restaurant's profit. Some companies do this to attract investors and increase the value of their stock. Not all companies do this.

This is how the stock market works. When you buy a share of a stock, you actually become part owner of that company. If